

Location Choices of Community Banks and Redlining: The case of Minority Depository Institutions

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Abstract

I study the proximity of mission-oriented community banks, Minority Depository Institutions to historically segregated urban areas that faced restricted mortgage activity. To achieve this, I construct a panel dataset and apply a Poisson Generalized Estimating Equation (GEE) framework to investigate whether MDIs are more likely to locate in historically redlined urban areas, based on Home Owners' Loan Corporation's (HOLC) "residential security maps" when compared to non-MDIs. I find Black MDIs are 9 percent more likely, whereas non-MDI banks are 10 percent less likely to locate in census tracts for each one point increase in their HOLC scores. For robustness, I use the percent of the lowest HOLC grade, Grade D areas within census tracts as an explanatory variable. The results are largely similar. The findings reflect how historical federal policies still shape credit markets and how Black banks co-exist with larger banks in their current local markets.

JEL Classification Codes: G20, G21 , R12

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